REPORTABLE (19)

RIOGOLD (PRIVATE) LIMITED
v
(1) FALCON GOLD ZIMBABWE LIMITED (2) K. TERRY N.O

SUPREME COURT OF ZIMBABWE
MAVANGIRA JA CHITAKUNYE JA & MWAYERA JA
HARARE: 3 OCTOBER 2024

T. *Zhuwarara,* for the appellant

*D. Tivada*r, for the first respondent

CHITAKUNYE JA: This is an appeal against the whole judgment of the High Court of Zimbabwe (Commercial Division) (the court *a quo*), handed down on 29 May 2024, as judgment number HH 210/24 in which it dismissed the appellant's application for the setting aside of an arbitral award. Aggrieved by that decision, the appellant lodged the present appeal. At the conclusion of the hearing, the Court dismissed the appeal with costs. Full reasons have been requested and these are they.

FACTUAL BACKGROUND

The appellant and the first respondent are both mining companies duly incorporated in terms of the laws of Zimbabwe. The second respondent is an arbitrator who was assigned to adjudicate the dispute between the parties. The dispute arose from an agreement of sale of shares (agreement of sale), that they entered into on 30 September 2016. In terms of that agreement of sale, the first respondent sold the entire share capital of a company known as Palatial Gold Investments (Pvt) Ltd to the appellant at a price of US$8 million. The appellant paid

US$ 5,693,547.00 and refused to pay a balance of US$ 2,306,453.00 on the basis of certain indemnity claims.

The appellant instituted an arbitral claim seeking to be indemnified by the first respondent for certain labour claims and expenses or losses that it anticipated would arise from labour disputes related to their agreement of sale. The arbitral claim was placed before Advocate *T. Magwaliba,* as the arbitrator. Before the arbitrator, the appellant averred that it no longer had any liability towards the first respondent due to its claims for indemnity arising from claims likely to be brought against the company. The Arbitrator dismissed the appellant's claims for indemnity against the first respondent on 27 August 2019.

The appellant unsuccessfully challenged the award in both the High Court and the Supreme Court on the premise that the award was contrary to public policy. On 23 January 2023 in *Riogold (Pvt) Ltd* v *Falcon Gold Zimbabwe & Anor* SC 7/23, this Court dismissed the appellant's appeal in respect of its claim for indemnity against the first respondent. This put closure to the appellant's effort to be absolved of any liability in the dispute between the parties.

Consequently, in July 2023, the first respondent instituted arbitral proceedings before Mr Kevin Terry, (the second respondent), as Arbitrator, seeking the payment of the balance of the purchase price in the sum of US$ 2,306,453.00 payable either in United States Dollars ('USD') or in Zimbabwe Dollar ('RTGS') at the prevailing interbank rate as at the date of payment.

The appellant disputed the claim and contended that it had paid the outstanding balance to an Escrow Agent that had been appointed in terms of an escrow agreement. The appellant, the first respondent and Coghlan Welsh and Guest (incorporating Stumbles and Rowe) had entered

into an agreement (the escrow agreement) wherein they established an escrow agent to facilitate the sale of the shares and also agreed that shares would be transferred upon payment of the full purchase price.

The dispute was deliberated before the second respondent who found that the arbitration related only to the question whether or not the amount owed as balance was in USD or RTGS. On 17 October 2023, the second respondent issued an arbitral award wherein he found that the appellant was obligated to pay the balance of US$ 2,306,453.00 in United States Dollars and that such sum could be paid in RTGS at the prevailing interbank rate to the first respondent.

In January 2024, the appellant applied to the court *a quo* for the setting aside of the arbitral award of 17 October 2023 on the premise that it was in conflict with the public policy of Zimbabwe, in terms of Article 34 (2) (b) (ii) of the Arbitration Act [*Chapter 7:15*]. The application was opposed by the first respondent contending that the award was not contrary to public policy. The first respondent's opposing affidavit, filed on 30 January 2024, was deposed to by Mr Ian Robert Saunders, the Executive Chairman of the Board of Directors who claimed to have been duly authorised.

In its answering affidavit, belatedly filed on 7 March 2024, the appellant raised a point *in limine* to the effect that the deponent to the first respondent's affidavit had not attached a resolution of the Board of Directors of the first respondent confirming that he had been authorised to represent the first respondent. At the hearing *a quo*, the appellant persisted with this point *in limine.*

THE POINT *IN LIMINE*

In the court *a quo*, Counsel for the appellant submitted that in view of the failure by the first respondent to attach the Board resolution, the first respondent's opposing papers were a nullity and so the application ought to be treated as unopposed.

Counsel for the first respondent, in contesting the point *in limine,* submitted that the point *in limine* shows a lack of candour on the part of the applicant. He submitted that the point *in limine* was raised in a belatedly filed answering affidavit. That answering affidavit was not valid as it was filed without first seeking leave of the court. In terms of r 33 (1) of the High Court (Commercial Division) Rules 2020, the appellant ought to have sought and obtained leave of the court *a quo* to belatedly file the answering affidavit. This was not done, thus afflicting the validity of issues raised therein. Counsel also submitted that, in any case, in case number HC882/2020, which was the appellant's previous application for the setting aside of the arbitral award by Mr *Magwaliba,* the appellant had not disputed the same deponent's authority to depose to the opposing affidavit. If anything, the deponent to the appellant's papers had admitted that fact. The parties have been before the High Court and the Supreme Court without any challenge to Mr Saunders' authority to represent the first respondent. The Arbitral awards involved arise from the same agreement of sale and relate to payment of the balance of the purchase price which the appellant had in the first arbitration sought to avoid by raising issues of indemnity. Thus, having accepted Mr Saunders' authority to represent the first respondent in HC 882/20, it was disingenuous of the appellant to belatedly allege lack of authority for Mr Saunders to represent the first respondent in this case. The appellant had not raised any factual conspectus warranting a change in its previous acceptance of Mr Saunders' authority to represent the first respondent as he was still the Executive Chairman of its Board of Directors.

In disposing this point the court *a quo* held that the appellant cannot simply depart from its previous position of accepting Mr Saunders' authority as in previous litigation such authority had not been challenged and the dispute related to the same agreement. In its view, the appellant was simply not being serious in belatedly raising such an issue in the answering affidavit. The point *in limine* was thus found to be unmeritable.

ON THE MERITS

In the court *a quo,* the appellant attacked the arbitral award alleging that it violated public policy in that: (a) it went beyond mere faultiness; (b) it constituted a palpable iniquity; and (c) it violated the constitution. The appellant argued that the arbitral award violated, ignored and negated statute and fundamental principles of law.

The appellant also averred that, the first respondent acknowledged payments made and had granted the escrow agent permission to release the share certificates and share transfer forms for purchased shares to the appellant and was thus estopped from denying that payment had been effected. It further contended that the outstanding balance of the purchase price remained as a judgment debt which could be paid in RTGS in line with s 22 (1) (d) of the Finance (No. 2) Act of 2019 ('Finance Act') and not in USD as stated in the arbitral award.

On the other hand, the first respondent contested the assertions by the appellant and averred that the findings by the second respondent were legally sound. It further contended that the appellant was introducing new issues in its submissions which were never placed before the second respondent; such as the issue of *estoppel* and currency nominalism.

The court *a quo* found that the arbitrator did not ignore the Finance (No.2) Act of 2019, as was being argued by the appellant. In finding for the first respondent, the court *a quo* noted that the second respondent correctly formulated the issue for determination and aptly concluded that the second respondent had not ignored the law introduced by SI 33/19 as incorporated in the Finance (No.2) Act of 2019. The second respondent had properly identified the issue and had engaged the issue as per the evidence placed before him. In the same light, the court *a quo* found no fault in the manner in which the second respondent had dealt with the facts placed before him on other aspects before concluding that the appellant was simply unhappy with the overall award and not that the award was contrary to the public policy of Zimbabwe.

Resultantly, the court *a quo* found that the application for the setting aside of the arbitral award had no merit and dismissed it.

It is against this background that the appellant noted this appeal on the following grounds:

GROUNDS OF APPEAL

1. The court *a quo* erred in refusing to strike off the first respondent's opposing papers. Such refusal was anomalous at law in that the deponent to the first respondent's Opposing Affidavit had not attached any company resolution authorizing such deposition, additionally, the said deponent had refused to tender any resolution when he was challenged to produce one.
2. The court *a quo* also erred in failing to set aside the second respondent's Arbitral Award, which award violates, and renders nugatory, the effect s 22 (1) (d) of the Finance (No. 2)

Act of 2019. At law any arbitral award that ignores statute is an afront to public policy and ought to be set aside.

3. Concomitantly, the court *a quo* erred in failing to hold that the second respondent's Arbitral Award impermissibly violated the principle of nominalism by awarding the first respondent US$ 2,306,453 [payable in local currency at the prevailing rate] when at law the appellant's contractual obligations to the first respondent had been converted to RTGS dollars as at 22 February 2019.
4. The court *a quo* also erred in failing to set aside the second respondent's Arbitral Award which constitutes a palpable iniquity in that it was predicated on the grossly irrational and gravely unjust conclusion that the Appellant had not fully paid the first respondent.

RELIEF SOUGHT

Take further notice that the appellant seeks the following relief:

1. That the instant appeal succeeds with costs.
2. That the order of the court *a quo* be set aside and substituted with the following:
    1. The Application succeeds.
    2. The Arbitral Award issued by the Arbitrator, the Hon Mr KEVIN TERRY, dated the 17th of October 2023, is hereby set aside in terms of Article 34 (2) (b) (ii) of the Arbitration Act [*Chapter 7:15*].
    3. The costs of this application be borne by the first Respondent.

ISSUES FOR DETERMINATION

1. Whether or not the court *a quo* erred and misdirected itself in not upholding the appellant's point *in limine*?

2. Whether or not the court *a quo* erred and misdirected itself in not setting aside the arbitral award.

BEFORE THIS COURT

In motivating the appeal Mr *Zhuwarara*, for the appellant, submitted that there was no valid opposition to the application *a quo* as the first respondent had not produced a Board resolution confirming that Mr Saunders had the requisite authority to represent the first respondent. In this regard he referred to, *inter alia*, the cases of *Dube* v *PSMAS & Anor* 2019 (3) ZLR 589 (S)], *Madzivire* v *Zvarivadza* 2006 (1) ZLR 514 (S)] and *Delta Operations (Pvt) Ltd* v *Origen Corporation (Pvt) Ltd* 2007 (2) ZLR 81(S). In his view, the fact that the same Mr Saunders had represented the first respondent in the previous case between the same parties and arising from the same agreement cannot be an excuse for not tendering the resolution.

Regarding the second issue, Mr *Zhuwarara* submitted, *inter alia,* that the court *a quo* erred in failing to set aside the second respondent's arbitral award, which award violates public policy, and renders nugatory, the effect of s 22 (1) (d) of the Finance Act. Counsel submitted that the award ignored s 22 (1) (d) of the Finance Act which had the effect of deeming the outstanding balance as 1:1 as between the Zimbabwe dollar and the United States dollar. He further argued that the fact that the parties had been in arbitration proceedings could not resuscitate the deemed exchange rate of 1:1 as at 22 February 2019.

On the issue of currency nominalism, counsel submitted that once the deemed conversion kicked in it forbade the arbitrator from rendering an award in United States Dollars. In that regard therefore, so he argued, the award violated the principle of currency nominalism by awarding the first respondent US$ 2,306,453, payable in local currency at the prevailing interbank

rate, when at law the appellant's contractual obligations to the first respondent had been converted to RTGS dollars as at 22 February 2019.

On palpable iniquity, counsel submitted that the award ought to have been set aside because it constituted a palpable iniquity in that it was predicated on a grossly irrational and gravely unjust conclusion that the appellant had not fully paid the first respondent when the agreement between the parties provided that once there was a dispute between the parties, this did not suspend payments. One had to continue paying but to the escrow agent. In his view, once the dispute on liability was resolved the first respondent could only claim from the escrow agent and not from the appellant.

In response to the court's inquiry counsel confirmed that Mr Saunders' authority to represent the first respondent had indeed not been challenged in the previous litigation between the parties relating to the same agreement. On the question of currency nominalism counsel conceded that this was not specifically raised but was dealt with in the form of reference to conversion.

Per contra, Mr *Tivada*r, for the first respondent, submitted that, regarding the first issue, Mr Saunders stated clearly that as the Executive Chairman of the first respondent's Board of Directors he was authorised to depose to the opposing affidavit. It is the same averment he had made in the previous case between the parties and for which the deponent to the appellant's affidavits had admitted as confirming Mr Saunders' authority. The previous case HC 882/20, was prosecuted up to the Supreme Court with no challenge to Mr Saunders authority. It is still within the same dispute pertaining to the same agreement that Mr Saunders has restated his authority and deposed to the opposing affidavit. In his view, therefore, the challenge to Mr Saunders authority

is not serious considering the facts of the case and the history of the dispute. It is Mr Saunders who has, throughout the dispute, represented the first respondent without any challenge from the appellant. Counsel thus submitted that the appellant is prevented from challenging Mr Saunders authority by virtue of its previous acceptance of such authority. Counsel also alluded to the fact that the challenge was improper as the answering affidavit was filed out of time and without leave of the court. Counsel alluded to the fact that r 33 (1) of the High Court (Commercial Division) Rules 2020 provides that:

> "… the applicant may file an answering affidavit with the registrar within five (5) days of the service of the opposing affidavit, which may be accompanied by supporting affidavits:
>
> Provided that no answering affidavit may be filed after the expiry of the fifth day without the leave of a judge and on good cause shown."

In casu, the opposing affidavit was filed and served on 30 January 2024 whilst the answering affidavit was filed and served on 7 March 2024, a period of over a month out of time. No leave was sought or granted for the filing of the answering affidavit. Counsel thus submitted that as there was no valid answering affidavit, there was in effect no challenge to Mr Saunders' authority.

On the merits, Mr *Tivadar* submitted, *inter alia*, that it was incorrect to allege that the arbitrator ignored the statute, in particular s 22 (1) (d) of the Finance. Counsel made reference to parts of the arbitrator's determination where the arbitrator pointedly dealt with that section and arrived at a conclusion on its applicability. He further submitted that the appellant is simply not happy with the arbitrator's determination and not that s 22 was ignored as was contended in the court *a quo* and in this Court by the appellant. He submitted that the appellant's discontent can only be that, in its view, the arbitrator was wrong but being wrong is not a ground upon which an arbitral award can be set aside. In this regard he referred to *ZIMRA* v *Mike Harris Toyota (Pvt)*

Ltd HH 614/23 wherein the Court stated, *inter alia,* that an arbitrator has a right to be wrong and that being wrong on fact or law, on its own, is not a basis to set aside an award. In this regard he indicated that the same point was reiterated in *Riogold* v *Falcon Gold* SC 7/23 and in *Alliance Insurance* v *Imperial Plastics (Pvt) Ltd & Anor* SC 30/17.

On the contention that the appellant had paid in full and so the award constituted a palpable iniquity, counsel submitted that payment had not been made in full. As found by the arbitrator, payments to the escrow agent had stopped as the appellant was seeking indemnity for labour and other related costs. The consequence of claims for indemnification was that the liability and extent thereof were put into question, hence there was no executable claim till after the indemnity claims had been resolved. During that period, therefore, there was no liability valued and expressed in USD as such was only to be assessed after the conclusion of arbitration proceedings.

On the question of currency nominalism, counsel for the first respondent submitted that this issue was not raised at all before the arbitrator and so the arbitrator cannot be faulted for not dealing with an issue not raised before him. He also submitted that, in any case, there was no violation of the principle of currency nominalism as there was no conversion from USD to RTGS since there was no liability valued and expressed in United States dollars as at 22 February 2019 due to the fact that the appellant had denied liability and was seeking indemnification over a number of claims.

ANALYSIS

1. Whether or not the court *a quo* erred in not upholding the appellant's point *in limine.*

On the first issue, the appellant contended that the court *a quo* erred in refusing to strike off the first respondent's opposing papers yet the deponent to the first respondent's opposing affidavit had not attached any company resolution authorizing such deposition. On the other hand, the first respondent contended that the point *in limine* lacks merit. In its view, no additional documentation was required as long as an assertion had been made in the affidavit to the effect that the deponent was the Executive Chairman of the first respondent's Board of Directors and was authorised to represent it in this litigation and there was nothing to contradict that assertion.

The law regarding production of a Board resolution confirming authority to represent a legal entity has been a subject of a plethora of case authorities. It is trite that the overarching purpose for such a requirement is to ensure that the person representing the legal entity is duly authorised and is not on a frolic of his/her own; in other words, it is to confirm that it is the legal entity that is litigating.

In *Madzivire & Ors* v *Zvarivadza & Ors* SC 2006 (1) ZLR 514(S) at 516C CHEDA JA stated that:

> "... a company, being a separate legal person from its directors, cannot be represented in a legal suit by a person who has not been authorized to do so. This is a well-established principle which the courts cannot ignore… The fact that the first appellant is the managing director of the fourth appellant does not clothe him with the authority to sue on behalf of the company in the absence of any resolution authorizing him to do so."

Further, in *Dube* v *Premier Service Medical Aid Society and Anor* 2019 (3) ZLR 589 (S) p 598 at para 38 the court stated that:

> "A person who represents a legal entity, when challenged, must show that he is duly authorized to represent the entity. … He must produce a resolution of the board of that entity which confirms that the board is indeed aware of the proceedings and that it has given such a person the authority to act in the stead of the entity. I stress that the need to produce

> such proof is necessary only in those cases where the authority of the deponent is put in issue."

It is apparent that what is required is evidence or proof that the person representing the legal entity is not on a frolic of his/her own but has the authority of the entity to do so and that it is the legal entity litigating. The board resolution is evidence of such authority. The evidence of such representation must be sufficient to show that it is the legal entity litigating. Thus, even a board resolution may be challenged in circumstances where other factors point to a contrived position on how it was obtained. The circumstances of each case must therefore be considered in assessing what has been put forth as proof of such authority.

In Delta Beverages (Sorghum Operations) and Anor v *Chirau* HH 421/18 p 2-3 DUBE J (as she then was) noted that:

> "A respondent alleging lack of authority on the part of a deponent to a founding affidavit is required to place before the court evidence or facts demonstrating such lack of authority, see *Direct Response Marketing (Pvt) Ltd* v *Shepherd* 1993 (2) ZLR 218. In this case, the court held that unless peculiar circumstances exist, an averment in an affidavit to the effect that the deponent has authority to depose to an affidavit suffices. In *Mall [Cape] (Pty) Ltd* v *Merino Ko-operasie* BPK 1957 (2) SA345(C) court held that a deponent to a founding affidavit must satisfy the court that it has the correct litigant before it. Where there is no actual authority authorizing him to bring the proceedings challenged, the deponent to the founding affidavit is required to place a 'minimum of evidence' before the court to show that he has the requisite authority to bring the proceedings."

In casu, it is common cause that parties had been litigating for a while with Mr Saunders representing the first respondent without any challenge. The appellant, in fact, accepted Mr Saunders' authority to represent the first respondent in the dispute. In the first leg of the dispute the appellant accepted Mr Saunders' authority as stated in the opposing affidavit. Evidently therefore, the appellant accepted that it was the first respondent that was litigating. In its demand for a company resolution the appellant did not allude to any changes in the factual

conspectus that now necessitated the need to produce the resolution. It would appear that the appellant, having lost the first leg of the battle, had no other ammunition to employ other than to belatedly seek to challenge Mr Saunders' authority to represent the first respondent, despite such authority having been admitted in the first leg. This is clearly a desperate attempt to escape liability. The requirement for such authority was not meant to be used as an escape route in an act of clutching at straws. Had the demand been genuine surely the appellant would have stated what new facts had necessitated this in view of its earlier acceptance that it was the first respondent litigating.

In *African Banking Corporation of Zimbabwe Ltd* t/a *Banc ABC* v *PWC Motors (Pvt)Ltd & Ors* HH 123/13 at p 4 MATHONSI J (as he then was), faced with a point *in limine* to the effect that the deponent to an affidavit required in an application for summary judgment had not attached a company resolution, remarked that:

> "However, it occurs to me that that form of proof is not necessary in every case as each case must be considered on its own merits. *Mall (Cape) (Pvt) Ltd* v *Merino KO-Oprasie Bpk* 1957 (2) SA 345 (C). All the court is required to do is satisfy itself that enough evidence has been placed before it to show that it is indeed the applicant which is litigating and not an unauthorised person.
>
> To my mind the attachment of a resolution has been blown out of proportion and taken to ridiculous levels. Where the deponent of an affidavit states that he has the authority of the company to represent it, there is no reason for the court to disbelieve him unless it is shown evidence to the contrary. Where no such contrary evidence is produced the omission of a company resolution cannot be fatal to the application. I therefore reject the point *in limine*."

Equally in *Tian Ze Tobacco Co. (Pvt) Ltd* v *Muntuyedwa* [2015] ZWHHC at pp 1-2, a case wherein the respondent's indebtedness was not in doubt, the respondent sought to resist the registration of an arbitral award on the basis that the deponent to the applicant's affidavit had not

attached a company resolution but did not express any doubt that it was the applicant litigating. The court, in dismissing the point *in limine*, aptly noted that:

> "The respondent has not shown that it is not the applicant that is litigating but an unauthorised person. All he wants is a dismissal of the application because a resolution of the board of directors of the applicant has not been produced. It is now fashionable for respondents who have nothing to say in opposition to question the authority of the deponent of a founding affidavit in order to appear to have a defence. ….
>
> Indeed, where the deponent of an affidavit has said that she has the authority of the company to represent it, there is no reason for the court to disbelieve her unless it is shown evidence to the contrary and where no such contrary evidence is produced, the omission of a company resolution cannot be fatal to the application. That is as it should be because an affidavit is evidence acceptable in court as it is a statement sworn before a commissioner of oaths. Where it states that the deponent has authority, it can only be disbelieved where there exists evidence to the contrary. It is not enough for one to just challenge the existence of authority without more as the respondent has done."

As noted above an affidavit is evidence of the facts stated therein and has value. Where facts therein have not been controverted such facts may be accepted as true.

In casu, Mr Saunders deposed to an affidavit on behalf of the first respondent stating, *inter alia*, that he was the Executive Chairman of the Board of Directors and that he was authorised to depose to the affidavit. This is the same statement he had stated in the first leg of the dispute relating to the arbitral award by Adv *Magwaliba* between the same parties in HC 882/20. The deponent to the appellant's answering affidavit in that case accepted and admitted Mr Saunders' authority to depose to the opposing affidavit in that case. As noted above, the dispute between the parties and for which the said Mr Saunders has, throughout, been representing the first respondent is the same. The only difference is that in the first leg the appellant sought to avoid liability for the balance of the purchase price by seeking indemnification whilst in the second leg (current case) the appellant sought to avoid paying the balance of the purchase price by alleging that it had paid the purchase price in full. In both cases the appellant sought to have the awards against it set aside

on the basis that they were in conflict with public policy. It is in respect of such challenges to the awards that Mr Saunders stated, in the affidavits, that he had the authority to depose to the opposing affidavits. It was in such circumstances that the court *a quo* held, *inter alia*, that the point *in limine*, which was raised in the appellant's answering affidavit was not sincere and that the deponent to the first respondent's opposing affidavit represented the first respondent in previous litigation involving the parties and his authority was not challenged by the appellant. The change in acceptance of Mr Saunders' authority appears motivated by the loss in the first leg of the dispute and not out of a *bona fide* doubt of Mr Saunders' authority or a genuine desire to know if it is the first respondent litigating.

The appellant had admitted Mr Saunders' authority in HC 882/20 and did not put across any new facts for the change of mind in the second application, HCHC 23/24. It is appropriate to say that, having accepted Mr Saunders' authority in the first leg of the dispute, the appellant is estopped from challenging such authority in the second leg of the same dispute. Further, once Mr Saunders' authority was admitted, there was no need for evidence of such authority in the same dispute. That authority was to defend and further the first respondent's interests in the dispute relating to the appellant's indebtedness to the first respondent. As already alluded to above, Mr Saunders had been representing the first respondent throughout the dispute between the parties and no reservations or any new factual conspectus had arisen to doubt such representation. No basis was proffered for doubting that it was still the first respondent litigating in this case as represented by Mr Saunders. The court *a quo* cannot be faulted for dismissing this point *in limine* as unmerited.

2. Whether or not the court *a quo* erred and misdirected itself in not setting aside the arbitral award.

The circumstances for the setting aside an arbitral award are provided for in Article 34 of the Arbitration Act [*Chapter 7:15*]. The appellant premised its application on the ground that the award was in conflict with public policy, that is Article 34 (2)(b)(ii) of the Act. Paragraph 2 (b) (ii) thereof provides as follows:

> "2. An arbitral award may be set aside by the High Court only if-
> (a) ….. or
> (b) the High Court finds that-
> (i) …
> (ii) the award is in conflict with the public policy of Zimbabwe."

Accordingly, a court may set aside an arbitral award if it finds that the award is in conflict with the public policy of Zimbabwe. What constitutes public policy is not defined in the Act. Case authorities have provided some guidance in this regard. In *Zimbabwe Electricity Supply Authority* v *Maposa* 1999 (2) ZLR 452 (S) at 465 D-E GUBBAY CJ alluded to the approach to be adopted by a court in determining whether an arbitral award is in conflict with the public policy of Zimbabwe in these words:

> "In my opinion, the approach to be adopted is to construe the public policy defence, as being applicable to either a foreign or domestic award, restrictively in order to preserve and recognise the basic objective of finality in all arbitrations, and to hold such defence applicable only if some fundamental principle of the law or morality or justice is violated."

Further at 466 E –G, that:

> "An arbitral award will not be contrary to public policy merely because the reasoning or conclusions of the arbitrator are wrong in fact or in law. In such a situation the court would not be justified in setting the award aside. Under Article 34 or 36 the court does not exercise an appeal power and either uphold or set aside or decline to recognise and enforce an award by having regard to what it considers should have been the correct decision. Where, however, the reasoning or conclusion in an award goes beyond mere faultiness or correctness and constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or acceptable moral standards that a sensible and fair minded person would consider

that the conception of justice in Zimbabwe would be intolerably hurt by the award, then it would be contrary to public policy to uphold it.

The same consequence applies where the arbitrator has not applied his mind to the question or has totally misunderstood the issue and the resultant injustice reaches the point mentioned above."

In *Alliance Insurance* v *Imperial Plastics (Pvt) Ltd & Anor* SC 30/17 at p 10 the Court related to the above remarks in the *ZESA* v *Maposa* case *(supra)* and aptly stated that:

"The import of these remarks is that the court should not be inclined to set aside the arbitral award merely on the basis that it considers the decision of the arbitrator wrong in fact/or in law. If the courts are given the power to review the decision of the arbitrator on the ground of error of law or of fact, then it would defeat the objectives of the Act, it would make arbitration the first step in a process which would lead to a series of appeals."

Further at p 11 that:

"The question which should be in the mind of a judge who is faced with this ground for setting aside an arbitral award is that, in light of all the submissions and evidence before the arbitrator, is it fathomable that he would have come up with such a conclusion. If the answer is in the affirmative, there is no basis upon which to set aside the award."

Thus, even if the arbitrator had applied the law incorrectly, that *per se* would not suffice for the setting aside of the award unless such error breaches some fundamental principles of the law or morality or justice.

It is clear that an arbitral award will not be set aside just because a party thereto is dissatisfied with the award or believes the award is wrong, the party ought to meet the stringent requirement for the setting aside of the award.

In its analysis of the arbitral award the court *a quo* aptly noted that the arbitrator had engaged the relevant sections of the Finance (No.2) Act, including s 22 and arrived at the conclusion that the conversion rate of 1:1 did not apply as liability was still to be determined as at

the date of the enactment of SI 33/19. The appellant had raised indemnity claims which affected the issue of liability. At the time the appellant was alleging that it was no longer liable to the first respondent in its quest for indemnification for certain labour related claims. The arbitrator also found that the appellant's claim that it had paid the money into an escrow agent account was a ruse as it had stopped making such payments in February 2018 and that for the duration of the arbitration proceedings no payments were made to the escrow agent. It was upon a careful analysis of the arbitrator's award and reasons thereof that the court *a quo* aptly stated that:

> "Although not sitting as a review or appeal court, I did not read the arbitrator as ignoring the law brought about by SI 33/19 as incorporated into the Finance (no. 2) Act, of 2019. He, in my view analysed the law. He formulated the issue as one that depended on whether or not the applicant had an obligation to pay the purchase price to the first respondent before the outcome of the arbitration proceedings or only once the arbitration had completed. He reached a conclusion on the facts that were placed before him. He cannot be said to have completely ignored the law. The same analysis applies to the issue of the award going beyond mere faultiness. The arbitrator made a finding that the escrow agent was acting for both parties after considering the facts put before him. The argument that the award violates the constitution in my view is a repetition of the submissions on the impact of s 22 of the Finance (no. 2) Act of 2019. I agree with Mr *Tivadar* that the issue of nominalism was not placed before the second respondent.
>
> The applicant seems to be 'unhappy' with the overall award."

The above shows that the arbitrator did not ignore the provisions of s 22 (1) (d) of the Finance Act. He noted that when SI 33/19 came into effect the appellant was denying liability. That denial meant that the balance, if any, was uncertain and could only be ascertained after arbitration. In this regard he relied on *Zambezi Gas Zimbabwe (Pvt) Ltd* v *N R Barber (Pvt) Ltd and Anor* 2020 (1) ZLR 138 (S) p 144F-G wherein the court stated that if an amount is still to be assessed then it would fall outside s 4 (1) (d) of SI 33/19 in these words:

> "If, for example, the value of the assets and liabilities was, immediately before the effective date, still to be assessed by application of an agreed formula, s 4 (1)(d) of SI 33/2019 would not apply to such a transaction even if the payment would thereafter be in United States dollars."

The contention that the award was palpably iniquitous is also without merit. It is not in dispute that in the first award of 27 August 2019 the appellant sought to be absolved from liability for the balance of the purchase price by seeking to be indemnified for labour related claims. When that failed, it unsuccessfully sought the setting aside of the award in the High Court and in this Court. The dismissal of all the indemnity claims and subsequent appeal to this Court served to confirm its liability for the balance of the purchase price. Had some of its indemnity claims been successful that would have required an assessment of the outstanding balance. Now that none of the indemnity claims succeeded it means that the appellant is liable to the extent of the balance of the purchase price. There was thus nothing palpably iniquitous in demanding that the appellant pays the outstanding balance of the purchase price.

It was upon a consideration of these circumstances that the second respondent held that as there was no executable claim at the date of SI 33/19 the conversion rate of 1:1, as at the effective date, did not apply. See *Lock* v *Lock* SC 127/22.

The second respondent clearly considered the statute in question in arriving at the award. Given what was before him and the above-mentioned assessment it cannot with any seriousness be said that the conclusion arrived at is so outrageous in its defiance of logic or acceptable moral standards or that the second respondent did not apply his mind to the issues before him such that the award is contrary to public policy.

On the question of currency nominalism, the court *a quo* aptly noted that this was never placed before the arbitrator. It is trite that an arbitrator is confined to the terms of reference placed before him and arising from pleadings and submissions by the litigants. It would be a serious misdirection for an arbitrator to go on a frolic of his own and decide an issue not placed before

him. See *Botha* v *Gwanda Rural District Council* HM 151/18 and *Delta Operations (Pvt) Ltd* v *Origen Corp (Pvt) Ltd* 2007 (2) ZLR 81 (S). It being a non-issue no fault lies with the arbitrator.

The appeal has no merit and ought to fail.

DISPOSITION

In the court *a quo* the appellant's task was to establish that the arbitral award was in conflict with public policy. Public policy as a defence is construed restrictively so as to preserve and recognise the basic objective of finality in arbitrations. *In casu*, the appellant lamentably failed to reach the threshold for the setting aside of an arbitral award on the basis that it was in conflict with public policy. The appellant's arguments only establish its discontent with the award, which on its own is insufficient for the setting aside of the award. The court *a quo* cannot be faulted for dismissing the appellant's application for the setting aside of the arbitral award.

Accordingly, this Court, at the end of the hearing issued the following order:

"The appeal be and is hereby dismissed with costs."

MAVANGIRA JA : I agree

MWAYERA JA : I agree

Wintertons, appellant's legal practitioners.

Atherstone & Cook, 1st respondent's legal practitioners.